

Step 2: Decide on a withdrawal rate (WR) you feel comfortable using based on what has been shown to be sufficiently capable in the historical data.

Step 3: Determine the wealth accumulation (W) you wish to achieve by retirement, defined as $W = RR / WR$.

Step 4: Determine the savings rate you need during your working years to achieve this wealth accumulation goal.

In my research on safe savings rates published in the May 2011 *Journal of Financial Planning*, “Safe Savings Rates: A New Approach to Retirement Planning over the Lifecycle,” I suggest the following retirement planning process as a replacement:

Step 1: Same as step 1 above.

Step 2: Decide on a savings rate you feel comfortable using as determined by what can sufficiently finance your desired retirement expenditures as based on historical data.

If you save responsibly throughout your career, you will likely be able to finance your expenditures regardless of what withdrawal rate this implies. Of course, a caveat must be included that the safe savings rate is merely what has been shown to work in rolling periods from the historical data. The same caveat applies to the safe withdrawal rate. Either rate may need to be revised upward or downward in the future. It must also be clear that my findings about safe savings rates are not one-size-fits-all. I merely illustrate the principles at work by focusing on the case of a particular stylized individual. Real people will vary in their income and savings patterns, consumption smoothing needs, desired retirement expenditures, and asset allocation choices. Through my role as chief planning strategist at inStream Solutions, we have built a safe savings rates module as a planning option in the software for financial advisors to use with their clients. This allows for analysis of more general cases.

The case study I use to illustrate the safe savings rate concept is someone saving for retirement during the final thirty years of her career, and she earns a constant real income in each of these years. A fixed savings rate determines